Type MS · Partners' current and capital accounts

Answer 1 of 11 · Question 2 part b.i · 8 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part b.i in this mark scheme extract

2(a) **Award marks as indicated.**

Carl and Ming

Appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		(250) **(1)**
Depreciation charge		(1 500) **(1)**
Updated profit for the year		40 390
Interest on drawings		
Carl	2 160 **(1)**	
Ming	2 340 **(1)**	
		4 500
Interest on capital		
Carl	(6 000) **(1)**	
Ming	(4 000) **(1)**	
		(10 000)
Salary Ming		(18 000) **(1)**
Profit available for distribution		16 890
Share of profit		
Carl	**(1of fb)**	8 445
Ming		8 445
		16 890

(8)

Type MS · Partners' current and capital accounts

Answer 1 of 11 · Question 2 part b.i · 8 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part b.i in this mark scheme extract

Question number	Answer	Mark
2(b)(i)	**Award marks for each correct date, detail and amount in combination as indicated.**	**(8)**

Current Account — Ming

Date	Details	$	Date	Details	$
31 March 2022	Drawings	26 000 **(1)**	1 April 2021	Balance b/d	900 **(1)**
	Appropriation/ Interest on drawings	2 340 **(1of)**	31 March 2022	Appropriation/ Interest on capital	4 000 **(1of)**
	Balance c/d	3 005		Appropriation/ Salary	18 000 **(1)**
				Appropriation/ Share of profit	8 445 **(2/1of)**
		31 345			31 345
			1 April 2022	Balance b/d	3 005 **(1of)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated.** The amount owed by the partnership to the partner **(1)**. **Accept any other appropriate responses.**	**(1)**

Question number	Answer	Mark
2(b)(iii)	**Award mark as indicated.** The partner may have taken more money than allowed **(1)**. **Accept any other appropriate responses.**	**(1)**

Type MS · Partners' current and capital accounts

Answer 1 of 11 · Question 2 part b.i · 8 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part b.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)(i)</td><td>Award marks as indicated.
<table><tr><th>Ratio</th><th>Formula</th></tr><tr><td>Current (working capital)</td><td>Current assets
Current liabilities
(1)</td></tr><tr><td>Liquid (acid test)</td><td>(Current assets – inventory)
Current liabilities
(1)</td></tr></table></td><td>(2)</td></tr>
</table>

Question number	Answer	Mark
2(c)(ii)	**Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.** **Sample answer** Although the current (working capital) ratio has deteriorated below the benchmark of 2:1**(1)** the business can still pay their current liabilities as was the case last year**(1).** The liquid (acid test) ratio has improved above the benchmark of 1:1 **(1)** indicating that the business can meet short-term debts as they become due, without the need to sell inventory **(1).** Therefore, the partners are correct that the liquidity of the business has improved **(1).** **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Partners' current and capital accounts

Answer 2 of 11 · Question 8 part whole · 1 mark

2019 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

8	**D** Current	**(1)**

Type MS · Partners' current and capital accounts

Answer 3 of 11 · Question 2 part b.i · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 4 · find part b.i in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Talmur and Soha Appropriation account for the year ended 31 March 2020		
	$	**$**
Profit for the year		65 000
Interest on drawings:		
Talmur	1 000 **(1)**	
Soha	800 **(1)**	
		1 800
Interest on capital:		
Talmur	7 500 **(1)**	
Soha	5 000 **(1)**	
		(12 500)
Salary:		
Talmur		(15 000) **(1)**
Profit available for distribution		39 300
Share of profit:		
Talmur		23 580 **(1of)**
Soha		15 720 **(1of)**
		39 300

(7)

Type MS · Partners' current and capital accounts

Answer 3 of 11 · Question 2 part b.i · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 4 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
2 (b)(i)	**Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.**	**(6)**

Current Account - Talmur

Date	Details	$	Date	Details	$
1 April 2019	Balance b/d	4 750	31 March 2020	Interest on capital	7 500 **(1of)**
31 March	Drawings	20 000		Salary	15 000 **(1)**
	Interest on drawings	1 000 **(1fb)**		Share of profit	23 580 **(1of)**
	Balance c/d	20 330			
		46 080			46 080
			1 April 2020	Balance b/d	20 330 **(1of)**

Question Number	Answer	Mark
2 (b)(ii)	**Award 1 mark as indicated.** There may be a share of loss **(1).** Or More drawings than available on the account **(1).** **Accept other appropriate responses.**	**(1)**

Type MS · Partners' current and capital accounts

Answer 3 of 11 · Question 2 part b.i · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 4 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**Award 1 mark for an introduction, up to 3 marks for discussion on ratios and 1 mark for a conclusion.** **For example** The partners are incorrect **(1).** The gross profit margin is unchanged over the two years indicating no change in either the selling price or cost price **(1).** The profit for the year as a percentage of revenue has increased indicating that the business is controlling their expenses adequately **(1).** The return on capital employed has decreased indicating that the business is not using the increase in capital employed effectively in generating profit **(1)**. Overall profitability has declined **(1).**	**(5)**

Question Number	Answer	Mark
2 (d)	**Award marks as indicated.**	**(6)**

Transaction	**Increase**	**Decrease**	**No effect**
Purchase of a non-current asset by cash		✓ **(1)**	
Sale of a non-current asset on credit	✓ **(1)**		
Non-current asset taken by owner for own use			✓ **(1)**
Purchase of inventory on credit			✓ **(1)**
Sale of inventory by cash	✓ **(1)**		
Inventory taken by owner for own use		✓ **(1)**	

Type MS · Partners' current and capital accounts

Answer 3 of 11 · Question 2 part b.i · 6 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 4 · find part b.i in this mark scheme extract

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Type MS · Partners' current and capital accounts

Answer 4 of 11 · Question 1 part b · 6 marks

2020 NOV · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

1 (a) **Award marks as indicated with label.**

Muneeb and Javeed
Appropriation account for the year ended 31 March 2020

	$	$
Profit for the year		78 000
Interest on capital		
Muneeb	10 000**(1)**	
Javeed	5 000**(1)**	
		(15 000)
Salary		
Muneeb		(12 000) **(1)**
Profit available for distribution		51 000
Share of profit		
Muneeb		34 000**(1of)**
Javeed		17 000**(1of)**
		51 000

(5)

Question Number	Answer	Mark
1 (b)	**Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.**	**(6)**

Current Account - Muneeb

Date	Details	$	Date	Details	$
1 April 2019	Balance b/d	5 750	31 March 2020	Interest on capital	10 000 **(1of)**
31 March 2020	Drawings	42 500 **(1)**		Salary	12 000 **(1)**
	Balance c/d	7 750		Share of profit	34 000 **(1of)**
		56 000			56 000
			1 April 2020	Balance b/d	7 750 **(1of)**

Type MS · Partners' current and capital accounts

Answer 4 of 11 · Question 1 part b · 6 marks

2020 NOV · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**Award marks as indicated with label.**	**(14)**

Muneeb and Javeed
Statement of financial Position at 31 March 2020

	$	$	$
Assets			
Non-current assets			100 000 (**1**)
Current assets			
Inventory		46 475 **(1)**	
Trade receivables	34 590		
Allowance for irrecoverable debts	(3 000)		
		31 590 **(1)**	
Other receivables		1 040 **(1)**	
Cash and cash equivalents		1 145 **(1)**	
			80 250 **(1of)**
Total assets			180 250 **(1of)**
Equity and liabilities			
Equity			
Equity	Muneeb	Javeed	
Capital account	100 000 **(1)**	50 000 **(1)**	150 000
Current account	7 750 **(1of)**	(3 950) **(1)**	3 800
Total equity			153 800
Current liabilities			
Trade payables		25 850 **(1)**	
Other payables		600 **(1)**	
Total equity and liabilities			180 250 **(1of)**

Type MS · Partners' current and capital accounts

Answer 4 of 11 · Question 1 part b · 6 marks

2020 NOV · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Partners' current and capital accounts

Answer 5 of 11 · Question 2 part c · 6 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part c in this mark scheme extract

2(a)	**Award mark as indicated.** **Advantages Max (1)** Additional capital **(1)** More expertise **(1)** Shared work load **(1)** **Disadvantages Max (1)** Shared profits **(1)** Disputes **(1)** Lack of control **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark

2(b) **Award marks as indicated.**

Able and Beena
Appropriation account for the year ended 30 April 2021

	$	$
Profit for the year		26 550 **(1)**
Add interest on drawings		
Able	1 600 **(1)**	
Beena	1 050 **(1)**	2 650
		29 200
Less interest on capital		
Able	(6 000) **(1)**	
Beena	(2 000) **(1)**	(8000)
Less Salary- Beena		(7 200) **(1)**
Profit available for distribution		14 000
Profit share		
Able		10 500 (**1of**)
Beena		3 500 **(1of)**

(8)

Type MS · Partners' current and capital accounts

Answer 5 of 11 · Question 2 part c · 6 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks for each correct date detail and amount in combination**	(6)

Current Account - Beena

Date	Details	Amount $	Date	Details	Amount $
1 May 2020	Balance b/d	2 750	30 April 2021	Appropriation/ interest on capital	2 000 **(1of)**
30 April 2021	Drawings	10 500 **(1)**		Appropriation/ salary	7 200 **(1)**
	Appropriation/ interest on drawings	1 050 **(1of)**		Appropriation/ Profit share	3 500 **(1of)**
				Balance c/d	1 600
		14 300			14 300
1 May 2021	Balance b/d	1 600 **(1of)**			

Question number	Answer	Mark
2(d)	**Award mark as indicated** Partner may have taken more money than allowed. **Accept any other appropriate responses**	(1)

Question number	Answer	Mark
2(e)	**Award marks as indicated**	(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.	✓ **(1)**		
A partner purchases stationery for the business from their own monies.		✓ **(1)**	
A partner introduces capital into the business			✓ **(1)**

Type MS · Partners' current and capital accounts

Answer 5 of 11 · Question 2 part c · 6 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
2(f) (i)	**Award 1 mark for each valid point up to a max of 3 marks.** **Sample answer** Interest on drawings will discourage excessive drawings **(1)** which will improve cash flow **(1)** and improve the liquidity of the business **(1)** **Accept any other appropriate responses**	**(3)**

Question number	Answer	Mark
2(f) (ii)	**Award 1 mark for each valid point up to a max of 2 marks.** **Sample answer** Interest on capital acts as a form of compensation to the partner who has invested more **(1)** and therefore encourages partners to invest in the business **(1)** **Accept any other appropriate responses**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Partners' current and capital accounts

Answer 6 of 11 · Question 2 part c · 8 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part c in this mark scheme extract

2(a)(i)	**Award mark as indicated.** To encourage partners to make additional investment in the business **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (ii)	**Award mark as indicated.** To discourage partners from making excessive drawings **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (iii)	**Award mark as indicated.** To reward partners for extra responsibility **(1)**	**(1)**

Type MS · Partners' current and capital accounts

Answer 6 of 11 · Question 2 part c · 8 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.** **Belen and Charo** **Appropriation account for the year ended 31 December 2022**	**(8)**

	$	$
Profit for the year		66 200
Interest on drawings		
Belen	1 600 **(1)**	
Charo	3 040 **(1)**	4 640
Interest on capital		
Belen	4 000 **(1)**	
Charo	4 500 **(1)**	(8 500)
Salary - Charo		(24 000) **(1)**
Profit available for distribution		38 340 **(1of)**
Share of profit		
Belen		19 170 **(1of)**
Charo		19 170 **(1of)**
		38 340

Type MS · Partners' current and capital accounts

Answer 6 of 11 · Question 2 part c · 8 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks for each correct date, detail and amount in combination.**	**(8)**

Capital Account - Charo

Date	Details	$	Date	Details	$
31 December	Balance c/d	90 000	1 January	Cash book/Bank	90 000 **(1)**
		90 000			90 000
			1 January	Balance b/d	90 000 **(1)**

Current Account - Charo

Date	Details	$	Date	Details	$
31 December	Appropriation/ Interest on drawings	3 040 **(1of)**	31 December	Appropriation/ Interest on capital	4 500 **(1of)**
	Drawings	38 000 **(1)**		Appropriation/ Salary	24 000 **(1of)**
	Balance c/d	6 630		Appropriation/ Share of profit	19 170 **(1of)**
		47 670			47 670
			1 January	Balance b/d	6 630 **(1of)**

Type MS · Partners' current and capital accounts

Answer 6 of 11 · Question 2 part c · 8 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.** The gross profit percentage is lower than budgeted **(1)** which may be due to selling prices falling/cost of sales increasing **(1).** However, the profit for the year as a percentage of revenue is higher than budgeted **(1),** which may be due to efficient control of overheads **(1).** Therefore, the partners are correct that overall profitability is better than expected **(1).** **Accept any other appropriate responses.**	**(5)**

Question Number	Answer	Mark
2(e)	**Award mark as indicated.** Return on capital employed **(1)**	**(1)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Partners' current and capital accounts

Answer 7 of 11 · Question 2 part d · 8 marks

2023 JUN · Paper 02 · extract 1 of 3 · find part d in this mark scheme extract

Number		
2(a)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** A Partnership agreement provides written evidence **(1)** to avoid conflict **(1)** and includes terms for the management of the partnership/details of share of profits/interest on drawings etc. **(1)** **Accept any other appropriate responses**	**(3)**

Question Number	Answer	Mark
2(b)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** A partner may decide to provide a loan to the partnership as a loan is repayable **(1)** will provide a guaranteed annual income. **(1)** **Accept any other appropriate responses**	**(2)**

Type MS · Partners' current and capital accounts

Answer 7 of 11 · Question 2 part d · 8 marks

2023 JUN · Paper 02 · extract 2 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks as indicated.**	**(12)**

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		56 800
Salary adjustment		17 000 **(1)**
Drawings – Joan		1 000 **(1)**
Loan interest		(600) **(1)**
Adjusted profit for the year		74 200 **(1)**
Interest on drawings		
Joan	300 **(1)**	
Lewis	350 **(1)**	
		650
		74 850
Interest on capital		
Joan	6 800 **(1)**	
Lewis	6 000 **(1)**	(12 800)
Salary - Lewis		(17 000) **(1)**
Profit available for distribution		45 050 **(1of)**
Share of profit		
Joan		22 525 **(1of)**
Lewis		22 525 **(1of)**
		45 050

Type MS · Partners' current and capital accounts

Answer 7 of 11 · Question 2 part d · 8 marks

2023 JUN · Paper 02 · extract 3 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award marks for correct date, details and amount in combination.**	**(8)**

Current Account - Lewis

Date	Details	$	Date	Details	$
31 Dec	Drawings	7 000 **(1)**	1 Jan	Balance b/d	3 900 **(1)**
	Interest on drawings	350 **(1)**	31 Dec	Interest on capital	6 000 **(1)**
	Balance c/d	42 675		Salary	17 000 **(1)**
				Loan interest	600 **(1)**
				Share of profit	22 525 **(1of)**
		50 025			50 025
			1 Jan	Balance b/d	42 675 **(1of)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Partners' current and capital accounts

Answer 8 of 11 · Question 2 part b.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 4 · find part b.ii in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Talmur and Soha Appropriation account for the year ended 31 March 2020		
	$	**$**
Profit for the year		65 000
Interest on drawings:		
Talmur	1 000 **(1)**	
Soha	800 **(1)**	
		1 800
Interest on capital:		
Talmur	7 500 **(1)**	
Soha	5 000 **(1)**	
		(12 500)
Salary:		
Talmur		(15 000) **(1)**
Profit available for distribution		39 300
Share of profit:		
Talmur		23 580 **(1of)**
Soha		15 720 **(1of)**
		39 300

(7)

Type MS · Partners' current and capital accounts

Answer 8 of 11 · Question 2 part b.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 4 · find part b.ii in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2 (b)(i)</td><td>Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.
Current Account - Talmur
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>1 April 2019</td><td>Balance b/d</td><td>4 750</td><td>31 March 2020</td><td>Interest on capital</td><td>7 500 (1of)</td></tr>
<tr><td>31 March</td><td>Drawings</td><td>20 000</td><td></td><td>Salary</td><td>15 000 (1)</td></tr>
<tr><td></td><td>Interest on drawings</td><td>1 000 (1fb)</td><td></td><td>Share of profit</td><td>23 580 (1of)</td></tr>
<tr><td></td><td>Balance c/d</td><td>20 330</td><td></td><td></td><td></td></tr>
<tr><td></td><td></td><td>46 080</td><td></td><td></td><td>46 080</td></tr>
<tr><td></td><td></td><td></td><td>1 April 2020</td><td>Balance b/d</td><td>20 330 (1of)</td></tr>
</table></td><td>(6)</td></tr>
</table>

Question Number	Answer	Mark
2 (b)(ii)	**Award 1 mark as indicated.** There may be a share of loss **(1).** Or More drawings than available on the account **(1).** **Accept other appropriate responses.**	**(1)**

Type MS · Partners' current and capital accounts

Answer 8 of 11 · Question 2 part b.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 4 · find part b.ii in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**Award 1 mark for an introduction, up to 3 marks for discussion on ratios and 1 mark for a conclusion.** **For example** The partners are incorrect **(1).** The gross profit margin is unchanged over the two years indicating no change in either the selling price or cost price **(1).** The profit for the year as a percentage of revenue has increased indicating that the business is controlling their expenses adequately **(1).** The return on capital employed has decreased indicating that the business is not using the increase in capital employed effectively in generating profit **(1)**. Overall profitability has declined **(1).**	**(5)**

Question Number	Answer	Mark
2 (d)	**Award marks as indicated.**	**(6)**

Transaction	**Increase**	**Decrease**	**No effect**
Purchase of a non-current asset by cash		✓ **(1)**	
Sale of a non-current asset on credit	✓ **(1)**		
Non-current asset taken by owner for own use			✓ **(1)**
Purchase of inventory on credit			✓ **(1)**
Sale of inventory by cash	✓ **(1)**		
Inventory taken by owner for own use		✓ **(1)**	

Type MS · Partners' current and capital accounts

Answer 8 of 11 · Question 2 part b.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 4 · find part b.ii in this mark scheme extract

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Type MS · Partners' current and capital accounts

Answer 9 of 11 · Question 2 part d · 1 mark

2021 NOV · Paper 02 · extract 1 of 3 · find part d in this mark scheme extract

2(a)	**Award mark as indicated.** **Advantages Max (1)** Additional capital **(1)** More expertise **(1)** Shared work load **(1)** **Disadvantages Max (1)** Shared profits **(1)** Disputes **(1)** Lack of control **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark
2(b)	**Award marks as indicated.** **Able and Beena** **Appropriation account for the year ended 30 April 2021**	**(8)**

	$	$
Profit for the year		26 550 **(1)**
Add interest on drawings		
Able	1 600 **(1)**	
Beena	1 050 **(1)**	2 650
		29 200
Less interest on capital		
Able	(6 000) **(1)**	
Beena	(2 000) **(1)**	(8000)
Less Salary- Beena		(7 200) **(1)**
Profit available for distribution		14 000
Profit share		
Able		10 500 (**1of**)
Beena		3 500 **(1of)**

Type MS · Partners' current and capital accounts

Answer 9 of 11 · Question 2 part d · 1 mark

2021 NOV · Paper 02 · extract 2 of 3 · find part d in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks for each correct date detail and amount in combination**	(6)

Current Account - Beena

Date	Details	Amount $	Date	Details	Amount $
1 May 2020	Balance b/d	2 750	30 April 2021	Appropriation/ interest on capital	2 000 **(1of)**
30 April 2021	Drawings	10 500 **(1)**		Appropriation/ salary	7 200 **(1)**
	Appropriation/ interest on drawings	1 050 **(1of)**		Appropriation/ Profit share	3 500 **(1of)**
				Balance c/d	1 600
		14 300			14 300
1 May 2021	Balance b/d	1 600 **(1of)**			

Question number	Answer	Mark
2(d)	**Award mark as indicated** Partner may have taken more money than allowed. **Accept any other appropriate responses**	(1)

Question number	Answer	Mark
2(e)	**Award marks as indicated**	(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.	✓ **(1)**		
A partner purchases stationery for the business from their own monies.		✓ **(1)**	
A partner introduces capital into the business			✓ **(1)**

Type MS · Partners' current and capital accounts

Answer 9 of 11 · Question 2 part d · 1 mark

2021 NOV · Paper 02 · extract 3 of 3 · find part d in this mark scheme extract

Question number	Answer	Mark
2(f) (i)	**Award 1 mark for each valid point up to a max of 3 marks.** **Sample answer** Interest on drawings will discourage excessive drawings **(1)** which will improve cash flow **(1)** and improve the liquidity of the business **(1)** **Accept any other appropriate responses**	**(3)**

Question number	Answer	Mark
2(f) (ii)	**Award 1 mark for each valid point up to a max of 2 marks.** **Sample answer** Interest on capital acts as a form of compensation to the partner who has invested more **(1)** and therefore encourages partners to invest in the business **(1)** **Accept any other appropriate responses**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Partners' current and capital accounts

Answer 10 of 11 · Question 2 part b.ii · 1 mark

2022 JUN · Paper 02 · extract 1 of 3 · find part b.ii in this mark scheme extract

2(a) **Award marks as indicated.**

Carl and Ming

Appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		(250) **(1)**
Depreciation charge		(1 500) **(1)**
Updated profit for the year		40 390
Interest on drawings		
Carl	2 160 **(1)**	
Ming	2 340 **(1)**	
		4 500
Interest on capital		
Carl	(6 000) **(1)**	
Ming	(4 000) **(1)**	
		(10 000)
Salary Ming		(18 000) **(1)**
Profit available for distribution		16 890
Share of profit		
Carl	**(1of fb)**	8 445
Ming		8 445
		16 890

(8)

Type MS · Partners' current and capital accounts

Answer 10 of 11 · Question 2 part b.ii · 1 mark

2022 JUN · Paper 02 · extract 2 of 3 · find part b.ii in this mark scheme extract

Question number	Answer	Mark
2(b)(i)	**Award marks for each correct date, detail and amount in combination as indicated.**	

Current Account — Ming

Date	Details	$	Date	Details	$
31 March 2022	Drawings	26 000 **(1)**	1 April 2021	Balance b/d	900 **(1)**
	Appropriation/ Interest on drawings	2 340 **(1of)**	31 March 2022	Appropriation/ Interest on capital	4 000 **(1of)**
	Balance c/d	3 005		Appropriation/ Salary	18 000 **(1)**
				Appropriation/ Share of profit	8 445 **(2/1of)**
		31 345			31 345
			1 April 2022	Balance b/d	3 005 **(1of)**

(8)

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated.** The amount owed by the partnership to the partner **(1)**. **Accept any other appropriate responses.**	**(1)**

Question number	Answer	Mark
2(b)(iii)	**Award mark as indicated.** The partner may have taken more money than allowed **(1)**. **Accept any other appropriate responses.**	**(1)**

Type MS · Partners' current and capital accounts

Answer 10 of 11 · Question 2 part b.ii · 1 mark

2022 JUN · Paper 02 · extract 3 of 3 · find part b.ii in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)(i)</td><td>Award marks as indicated.
<table>
<tr><th>Ratio</th><th>Formula</th></tr>
<tr><td>Current (working capital)</td><td>Current assets
Current liabilities
(1)</td></tr>
<tr><td>Liquid (acid test)</td><td>(Current assets – inventory)
Current liabilities
(1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)(ii)</td><td>Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.

Sample answer

Although the current (working capital) ratio has deteriorated below the benchmark of 2:1(1) the business can still pay their current liabilities as was the case last year(1).

The liquid (acid test) ratio has improved above the benchmark of 1:1 (1) indicating that the business can meet short-term debts as they become due, without the need to sell inventory (1).

Therefore, the partners are correct that the liquidity of the business has improved (1).

Accept any other appropriate responses.</td><td>(5)</td></tr>
</table>

(Total for Question 2 = 25 marks)

Type MS · Partners' current and capital accounts

Answer 11 of 11 · Question 2 part b.iii · 1 mark

2022 JUN · Paper 02 · extract 1 of 3 · find part b.iii in this mark scheme extract

2(a) **Award marks as indicated.**

Carl and Ming

Appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		(250) **(1)**
Depreciation charge		(1 500) **(1)**
Updated profit for the year		40 390
Interest on drawings		
Carl	2 160 **(1)**	
Ming	2 340 **(1)**	
		4 500
Interest on capital		
Carl	(6 000) **(1)**	
Ming	(4 000) **(1)**	
		(10 000)
Salary Ming		(18 000) **(1)**
Profit available for distribution		16 890
Share of profit		
Carl	**(1of fb)**	8 445
Ming		8 445
		16 890

(8)

Type MS · Partners' current and capital accounts

Answer 11 of 11 · Question 2 part b.iii · 1 mark

2022 JUN · Paper 02 · extract 2 of 3 · find part b.iii in this mark scheme extract

Question number	Answer	Mark
2(b)(i)	**Award marks for each correct date, detail and amount in combination as indicated.**	(8)

Current Account — Ming

Date	Details	$	Date	Details	$
31 March 2022	Drawings	26 000 **(1)**	1 April 2021	Balance b/d	900 **(1)**
	Appropriation/ Interest on drawings	2 340 **(1of)**	31 March 2022	Appropriation/ Interest on capital	4 000 **(1of)**
	Balance c/d	3 005		Appropriation/ Salary	18 000 **(1)**
				Appropriation/ Share of profit	8 445 **(2/1of)**
		31 345			31 345
			1 April 2022	Balance b/d	3 005 **(1of)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated.** The amount owed by the partnership to the partner **(1)**. **Accept any other appropriate responses.**	**(1)**

Question number	Answer	Mark
2(b)(iii)	**Award mark as indicated.** The partner may have taken more money than allowed **(1)**. **Accept any other appropriate responses.**	**(1)**

Type MS · Partners' current and capital accounts

Answer 11 of 11 · Question 2 part b.iii · 1 mark

2022 JUN · Paper 02 · extract 3 of 3 · find part b.iii in this mark scheme extract

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